

Article | 25 June 2026

FX

FX Daily: Looking for stabilisation

Calmer markets are allowing several currencies to take a breather against the strong dollar. If sentiment keeps stabilising from here, data and Fedspeak should take over as primary drivers. Today, we expect decent US spending figures, but a muted core PCE. Our baseline view is that EUR/USD won't break below 1.130



Calmer markets are allowing several currencies to take a breather against the strong dollar

↓ **USD: Core PCE may come in cooler than expected**

The dollar seems to have halted its run on some risk sentiment stabilisation, but it's still early to rule out another leg higher in the greenback. Any new signs of AI jitters could be the catalyst for more safe-haven-related dollar demand.

At the same time, our baseline view remains that we are not far from the peak in this dollar rally. This risk correction has shaved around 7bp off the Fed pricing for December, which is now 35bp. It's a potential sign that the bar for a dovish repricing may not be that high. Our economists still [expect](#) no hikes by the Fed this year, which backs our bearish USD call for 2H.

Today, the US data calendar picks up again. Personal income figures for May are expected to come in at a robust 0.6% on the back of good retail sales data. However, the savings rate may keep dropping closer to all-time lows – a sign of growing stress for some consumers.

The other main release is the Fed's preferred measure of inflation, the core PCE deflator.

Expectations are for 0.3% MoM, but we see risks tilted to a 0.2% print. That wouldn't be enough to sustainably invert the USD's momentum, but it could help build some resistance to more aggressive hawkish repricing in the swap curve.

Fedspeak also remains quite closely watched. Today, Bowman and Williams are due to speak. The former is arguably the most dovish FOMC member after Miran's departure, and Williams is also a dovish-leaning voice. We could hear some pushback against aggressive expectations as they probably belong to the half of FOMC members who forecasted no hikes this year.

Francesco Pesole

↑ **EUR: Looking for firmer ground**

EUR/USD is stabilising after a long sell-off, with AI-related sentiment now being the primary driver of the pair. Further stabilisation in equities could see a slow return to 1.140.

Domestically, the [German IFO printed above consensus](#) yesterday, offsetting Tuesday's poor PMIs, but markets have continued to gradually scale back some ECB easing. This was in line with the move in the USD curve and a spillover from the equity turmoil, as ECB speakers have so far offered a more hawkish tone relative to Lagarde's Monday speech.

Our baseline view is that EUR/USD won't break below 1.130, but that is contingent on risk sentiment continuing to stabilise.

Francesco Pesole

↓ **PLN: Zloty weakness to persist as NBP stays dovish and global turns risk-off**

The Polish zloty continues to underperform its CEE peers. Over the past two weeks, EUR/PLN has moved from its previous 4.230-4.260 range to levels above 4.290 yesterday, the highest since the start of the US-Iran conflict in March. As we discussed here previously, the zloty has become the region's most vulnerable currency due to the dovish tone of the National Bank of Poland. Global factors have added to this pressure in recent weeks, with a stronger US dollar and weaker risk sentiment weighing on the currency. Overall, there is little to suggest an early turnaround in EUR/PLN.

In our models, levels around 4.290 have closed the gap between rates and FX that had been widening since mid-June, suggesting fair levels currently. The market has priced out almost all rate hikes and now expects rates to remain broadly unchanged over the next six months, with only about a 50% probability of one hike over the following year. This is significantly less than for comparable peers such as the Czech Republic or the broader EM space, excluding outliers such as Hungary or Israel with strong idiosyncratic stories.

For now, the NBP's tone is unlikely to change, with the next potential trigger being the June inflation print next Tuesday. However, forecasts do not point to a significant upside surprise, while recent data, especially weaker wages, should keep the central bank comfortable. We therefore continue to see risks skewed towards a higher EUR/PLN, although 4.300 should remain strong resistance and help keep the move contained. Otherwise, further zloty weakness could prompt the NBP to reassess its current stance.

Frantisek Taborsky

➔ CEE: Stronger dollar puts FX under pressure

The strong US dollar is becoming a visible problem for the entire EM space, including CEE currencies. The risk of a Fed hike has long been one of the biggest risks for the CEE region, not only from an FX perspective but also from a central bank perspective. Weaker currencies obviously mean additional inflationary pressures for the significantly open economies of Central and Eastern Europe. At the same time, this is the last thing central banks want right now, when the second-round impact of higher oil prices in the last three months is still unknown. We should potentially see higher food prices across the region in the second half of the year due to higher fertiliser prices and a turnaround in global food prices.

At the same time, the market is reacting to falling oil prices and pricing out potential rate hikes in Poland and the Czech Republic, and increasing rate cut bets in Hungary. In the Czech Republic, the market is keeping one hike, in Poland about half a hike and in Hungary about 150bp of easing. While in Hungary we may see more rate cuts priced in, in the Czech Republic and Poland we see this as the minimum possible at this point.

Conversely, the pressure on FX may bring rate hikes back into play, although our baseline is no change in the Czech Republic and Poland this year. The increasing probability of a Fed hike also means an increasing probability of rate hikes from the CNB and NBP and fewer rate cuts from the NBH.

Frantisek Taborsky

Author

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.